

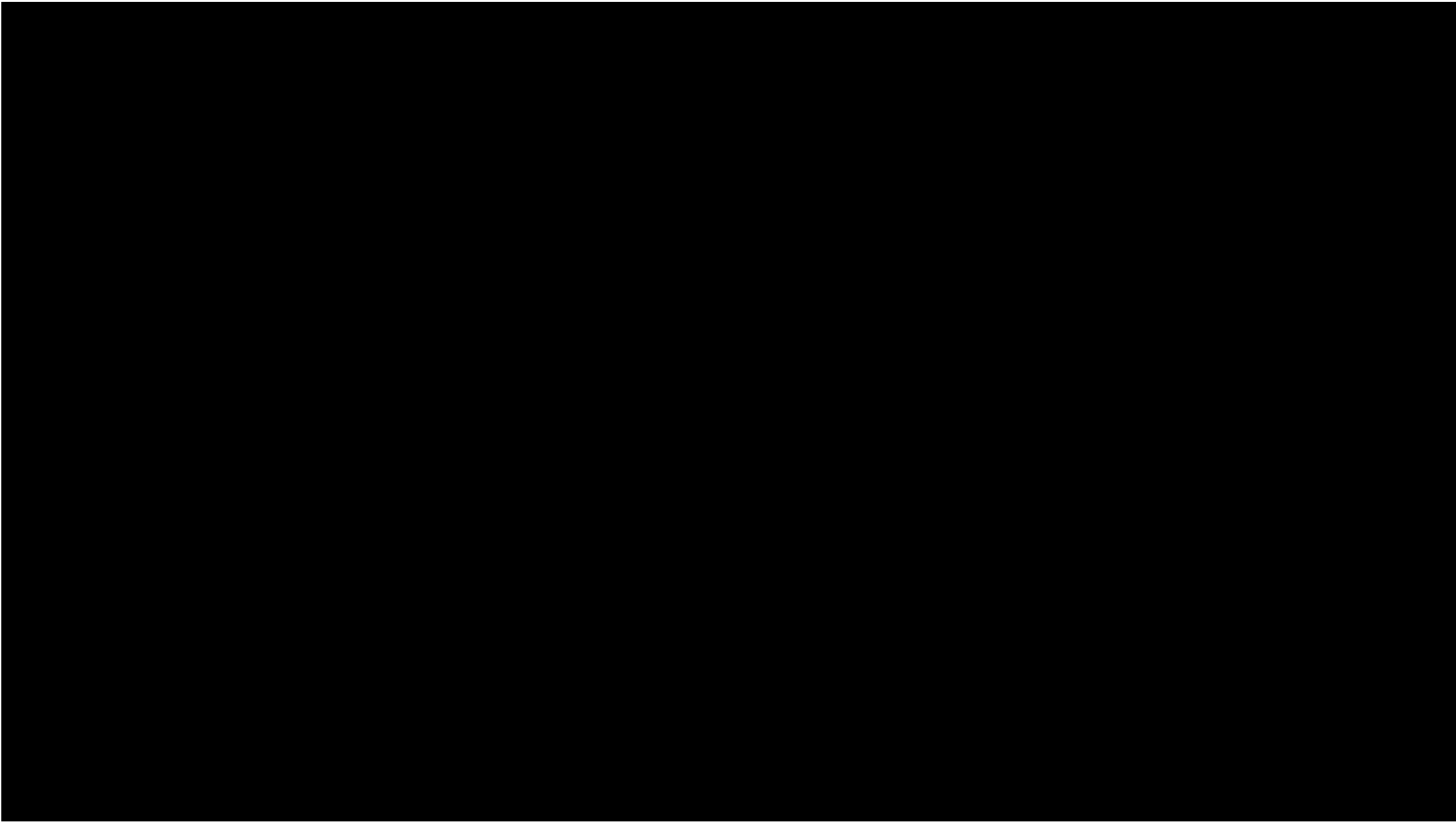
DECOLONISATION: LIGHTS AND (MANY) SHADOWS

Alfani-Colli, ch. 14-15

Economic history

Ay 2025/2026

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GOLDEN AGE BUT...NOT FOR EVERYONE

- Until the mid-20th century, modern economic growth benefited Europe and the western offshoots (and Japan)
- In the 1950-1973
 - Western Countries grew at an average of 4% rate after WW2
 - In Africa growth rate was about 1,8%
 - In Latin America growth rate was 2,4%
 - In Asia (excluding Japan) growth rate of 2,6%
- New competitors in medium-tech from the 1960s onward
- Newly industrialised countries (NICs)
 - In 1965, NICs produced 5% of world manufacturing output, by 1995 their share grew to 17% (and since then doubled)
 - South Korea, Taiwan, Singapore, Hong Kong broke into the club of advanced economies

GOLDEN AGE BUT...NOT FOR EVERYONE

- Does a common growth path exist?
 - The use of a single word - **decolonisation** - to refer to **the transfer of sovereignty from the imperial powers to their former colonies** after 1945 may suggest a uniform process with a common set of causes. But decolonization happened at different time in different part of the world and with different processes.
- Relations between rich and poor countries mattered
 - Economic Dependence
 - The role of the World Bank → aid to developed countries represents an obstacle for less developed economies
 - What about humanitarian aid? Absurdly, in many cases, it made the situation worse: it increased people's life expectancy without giving them higher incomes

DECOLONISATION

1945

- Sovereign countries represented at the UN were 51 among them the Asian ones were 9 and the African 3

1960

- Sovereign Member States at the UN = 120 → 70 representing African or Asian countries

→ changing balance of power within the UN

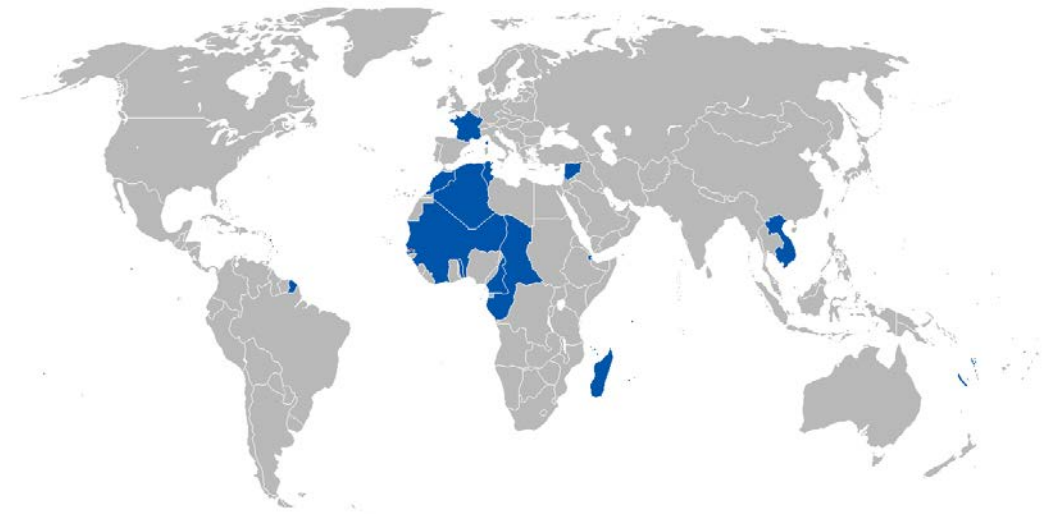
<https://www.un.org/en/global-issues/decolonization>

TIMING OF DECOLONISATION

- ▶ Decolonization came into waves, and in a changing geographic scenario:
 - ▶ Immediately after the war, mainly East Asia (Korea, Taiwan, Indonesia, Philippines)
 - ▶ During the first half of the 1950s, southeast Asia (basically Indochina)
 - ▶ End of the Fifties – beginning of the Sixties: Africa
- ▶ The process **was not always peaceful**:
 - ▶ Britain was ready to give independence to India and decided to reinvigorate the concept of Commonwealth as trade union among increasingly autonomous dominions.
 - ▶ France maintained more firmly an imperialistic attitude.

FRENCH DECOLONIZATION

- ▶ The decolonization of the French Empire was a long, violent, and politically traumatic process
- ▶ While the British Empire largely dissolved within two decades (1947–1965), the French process was marked by two major colonial wars:
 - ▶ **The First Indochina War** (1946–1954): Vietnam, Laos, and Cambodia (then collectively known as French Indochina).
 - ▶ **The Algerian War** (1954–1962)
- ▶ The decolonization of the vast **French West Africa (AOF)** and **French Equatorial Africa (AEF)** was relatively more peaceful and rapid.



DECOLONISATION

Among the reasons behind decolonization are:

1. Weakening of European powers

- World War II severely depleted the economic and military resources of colonial powers like Britain, France, and the Netherlands, making the cost of maintaining and governing vast empires unsustainable.

2. Rise of anti-colonial/independence movements

- Local nationalist leaders and movements, often inspired by Western ideals of self-determination, gained massive popular support.

3. Cold War Context

- Negative stance of the USA and USSR towards colonial

4. The United Nations (UN):

- The UN, founded in 1945, provided an international forum that institutionalized the principle of self-determination. The 1960 Declaration on the Granting of Independence to Colonial Countries and Peoples was a landmark resolution.

DECOLONIZATION AND COLD WAR

- **Bipolar world** (USA-USSR) and the search for autonomous positioning
 - Bandung Conference 1955
 - Its main purpose was for the world's newly independent and anti-colonial nations to:
 - Condemn colonialism and racism collectively.
 - Assert their political independence on the global stage.
 - Form the basis for the Non-Aligned Movement (NAM) to avoid taking sides in the Cold War.
 - It essentially announced the birth of the "Third World" as a new and unified force in international politics



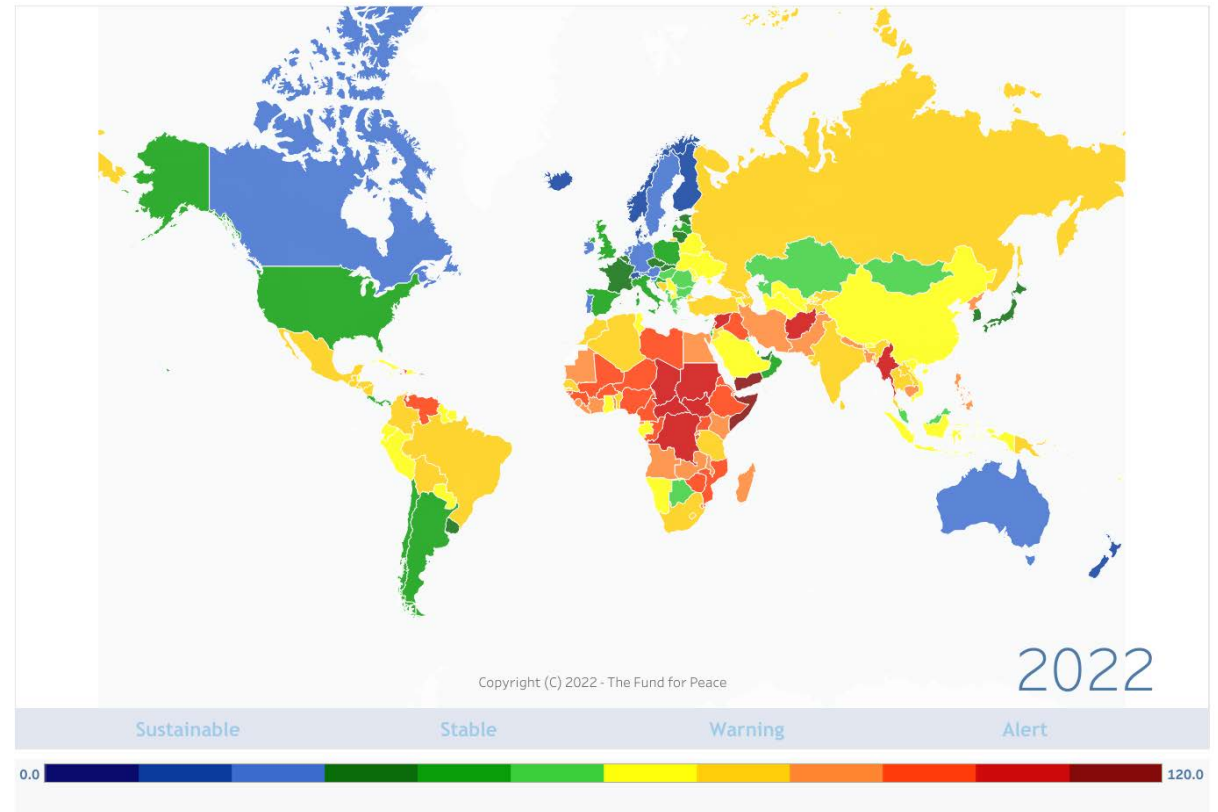
Fragile States Index Heat Map, 2022

Independence does not erase the dramatic problems of **underdevelopment**

- poverty, illiteracy, dependence on international trade...

Fragility of the new ruling classes and the role of the military

- **Dictatorial regimes often emerge,** supported by the military.



Source: Fund for Peace
annual report 2022

DECOLONISATION: INITIAL RESULTS

- Three perspectives on decolonisation:
 - “**Balance sheets**” of the European colonial powers: private investments leave the colonies well before political power.
 - Resources leave countries
 - Colonial unintentional **transfer of power**: as expatriates leave the colonies, they leave gaps in many economic activities that they previously monopolised. Local entrepreneurs can take over and take a slice of the economy.
 - The know how has been affected
 - **Interdependence and integration of Western European economies**: as European economic integration proceeded and a large continental market was created, the colonies were progressively **marginalised** until they became a vestigial part of many states.

THE POST-COLONIAL DIVERGENCE

On the one hand the economic miracles of the 1950s brought prosperity and wealth to many countries in the West. But on the other hand, they **increased the gap between rich and poor countries**.

Why couldn't the former colonies keep up with the old motherlands?

- economic structure still strongly dominated by the **primary sector**
 - Inappropriate factor endowments
 - Insufficient technical capabilities
- **high birth rate** (after WWII it rose from 0.8% to 2% per year, while in the West it stopped at 1.3%) → different stages in the demographic transition

Growing demographic pressure accompanied by low per-capita income further condemned developing countries to poverty.

POPULATION BOOM

Table 1.6. Population by Country (in Thousands), 1850–1995

Country	1850	1900	1930	1950	1980	1995
Argentina	1,100	4,693	11,900	17,150	28,237	34,600
Brazil	7,234	17,984	33,570	51,941	118,518	157,800
Chile	1,443	2,974	4,370	6,082	11,145	14,300
Mexico	7,662	13,607	17,175	27,376	69,655	93,700
Turkey	na	11,900	14,930	20,809	44,737	61,644
China	412,000	400,000	489,000	546,815	981,235	1,218,800
India	187,657	235,729	278,620	359,000	679,000	930,600
Indonesia	22,977	42,746	60,600	79,043	147,490	198,400
South Korea	na	8,772	13,670	20,557	38,124	44,900
Taiwan	na	2,864	4,615	7,882	17,642	21,146
Thailand	5,230	7,320	12,395	19,442	46,700	60,200
France	36,350	40,598	41,610	41,836	53,880	58,100
Germany	19,952	31,666	40,810	49,983	61,566	81,700
U.K.	25,601	38,426	45,865	50,363	56,314	58,600
U.S.	23,352	76,391	123,670	152,271	227,757	263,082
Japan	32,000	44,103	64,200	83,563	116,800	125,030

Sources: All data except for 1995 from Maddison (1995). Data for 1995 from 1996 *Almanac* (Boston: Houghton Mifflin).

THE LEGACIES OF THE PAST

- Behind a common colonial past, there are different paths.
 - Countries with **subsistence agriculture** (except for export productions) and without significant manufacturing experiences.
 - Countries that, in the 1930s, had initiated **significant experiences** in the industrial field, facilitated by flows of emigrants from Europe (human capital): Argentina, Brazil, Chile, Mexico.
 - In **Asia**, the skills necessary for the start of industrial activities are formed through **migratory flows**, thanks to the colonial legacy (European and Japanese) and the presence of American multinational companies.
- With decolonization, the countries that succeed in meeting the challenge of development are those able to **seize the opportunity to acquire technologies and develop their own development strategy, generally with state support.**

RECIPES FOR GROWTH

- **In developing countries**, the prevailing idea is that to industrialize and modernize, it is appropriate to go through **autarchic and protectionist policies**.
- Latin American countries, as well as Asia and Africa, once they achieve independence, embark on the path of **economic nationalism**:
 - **Industrialization** is perceived as the fastest way to modernize economic and social structures.
- Rarely, however, they were able to narrow the gap with developed countries and 'break' the mechanism of **subordination** to the mechanisms of **international markets or the aid** that could come from superpowers
- **Import substitution industrialization (ISI)**

IMPORT SUBSTITUTION INDUSTRIALIZATION (ISI)

- The **strategy**: a state-led economic policy to stop importing industrial products and start manufacturing them domestically. The goal was to shift the entire economic base from agriculture/mining to industry.
- The **mechanism**: the government uses high tariffs, import quotas, and subsidies to protect its new "infant industries" from established foreign competition, giving them the space to grow and become competitive.
- The model suggested by economists, however, was much broader than what was normally implemented by governments. The model included:
 - Import substitution → **Less dependence on imports.**
 - Export diversification → Industrial diversification
 - Regional integration

THE HISTORICAL EXPERIENCE OF ISI

- This policy has, in many cases, achieved the set goal, allowing different states to become **complete industrial economies**, following the example of more advanced countries.
- However, this has not always translated into a corresponding increase in well-being and per capita income comparable to the western standards
 - States often indiscriminately **protected** all industrial sectors, including the most **inefficient** ones.
 - In other cases, the creation of **powerful lobbies** prevented the removal of protection once the industry became competitive.
 - The limited size of domestic markets restricted the development of economies of scale.
 - Instances of **corruption** have been frequent.
 - The occurrence of **social conflicts**, as this policy has often resulted in the strengthening of certain classes of workers at the expense of others
- ISI was financed by **massive external borrowing** that quadrupled in just 7 years (1975-1982).
- **This model**, which created inefficient industries protected from competition, **collapsed** when global interest rates rose, triggering the "Lost Decade" of the 1980s.

THE POST-COLONIAL DIVERGENCE

Despite the difficulties of many of the former colonies in developing their economies, it should not be assumed that growth rates were negative.

On the contrary, although modest compared to the West, compared to the colonial period they often recorded a high **GDP growth**

- this growth did not everywhere bring prosperity, but often it brought **political and social instability**.
- The newly created wealth was **not fairly redistributed** among the population and the already fragile political architecture was further weakened.

THE POST-COLONIAL DIVERGENCE

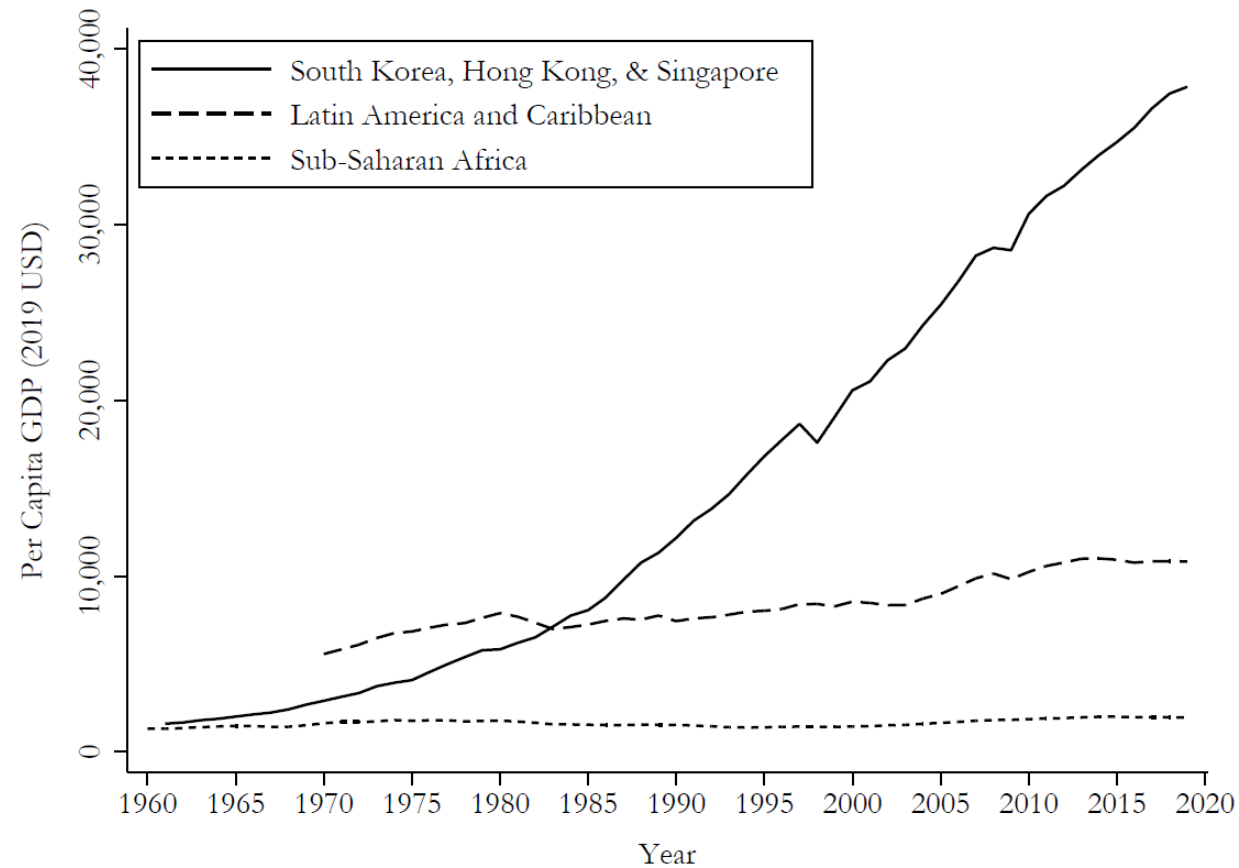
It should be emphasised that poverty was not a common condition for all former colonies:

for some states, the abundance of **natural resources** demanded by Western countries caused **per capita income to rise** significantly.

The most classic example is the Gulf economies, which prospered rapidly thanks to **oil**.

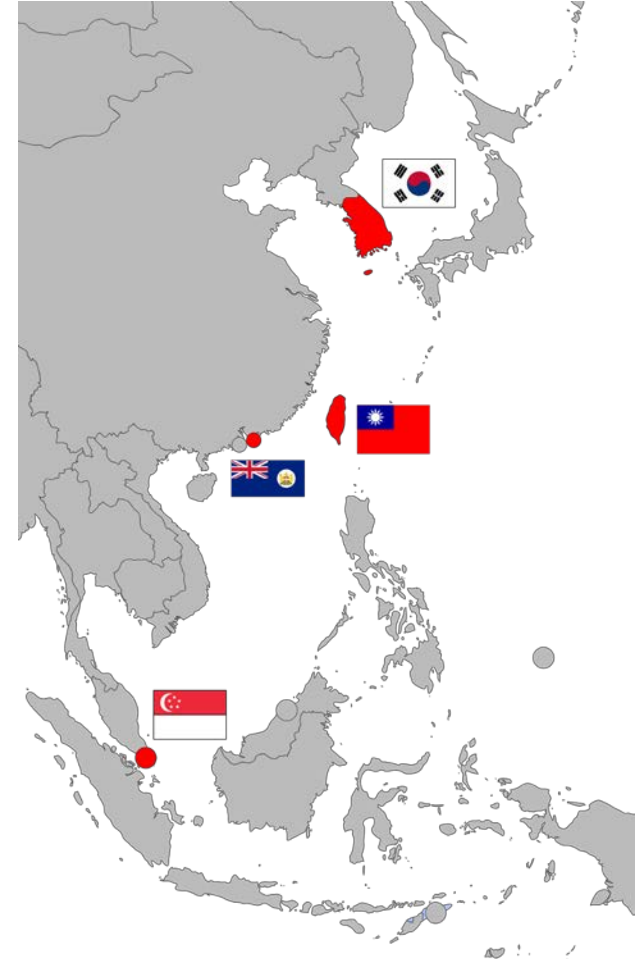


A DIFFERENT DESTINY: THE ASIAN TIGERS



A DIFFERENT DESTINY: THE ASIAN TIGERS

- ▶ If we look back at the economic landscape of the 1950s and early 60s, **South Korea, Taiwan, Hong Kong, and Singapore** did not look like future economic superpowers: they were resource-poor and politically fragile.
- ▶ While colonialism was inherently exploitative and often brutal, it inadvertently left behind the "hardware" and "software" necessary for modern industrialization.
- ▶ These countries received significant investments from their colonizers (Japan and Britain) meant to integrate them into a wider empire.
- ▶ This created a **unique starting point** when they finally gained independence.



SOUTH KOREA AND TAIWAN

- ▶ Both colonies of Imperial Japan until 1945. The Japanese approach was authoritarian and focused on industrial production to fuel their own empire.
- ▶ They built an extensive network of railways, roads, harbors, and hydroelectric plants.
- ▶ When the Japanese left, the factories and infrastructure remained.
- ▶ The post-war governments in Seoul and Taipei inherited a specific style of governance: a centralized, ruthless, yet highly efficient bureaucracy capable of mobilizing the entire nation toward a single economic goal.

HONG KONG AND SINGAPORE

- ▶ Hong Kong and Singapore were shaped by the British Empire.
- ▶ As strategic trading ports, their colonial legacy was less about heavy industry and more about commerce and administration.
- ▶ The British left behind the "soft" infrastructure that is crucial for global business: the Rule of Law.
- ▶ This gave international investors confidence that contracts would be honored. Additionally, they inherited a professional civil service and the widespread use of the English language.

THE STRATEGY USED

- **These countries were not geographically extended**
- These countries had a less dynamic domestic market, their people were poor thus domestic consumption was limited and therefore had to focus immediately on **exports**
- **The export led growth** approach used, did not include **protective tariffs** to support domestic manufacturing firms
- Labour force was well educated, disciplined and cheap (not huge though)
- As they earned foreign currency, they didn't just spend it; they reinvested it into education and better technology:
 - They climbed the ladder, moving from cheap labor industries to heavy industry, and eventually, to the high-tech electronics and finance sectors.

SECRET WEAPONS: EDUCATION AND SAVINGS

- ▶ **Education first:**

- By 1965, all four Tigers had achieved universal primary education (100% enrollment). They educated their workforce before they had the factories to employ them.

- ▶ **Savings mania:**

- In the 1960s, savings were low. By the 1980s, their citizens were saving over 30-35% of their income (compared to ~15% in the West). This money funded the factories without needing excessive foreign deb

SECRET WEAPONS: EDUCATION AND SAVINGS

Table 5								
Educational Attainment of the Working Population (percentage)								
	Hong Kong		Singapore		South Korea		Taiwan	
	1966	1991	1966	1990	1966	1990	1966	1990
None	19.2	5.6	55.1	-	31.1	6.4	17.0	4.5
Primary	53.6	22.9	28.2	33.7	42.4	18.5	57.2	28.0
Secondary+	27.2	71.4	15.8	66.3	26.5	75.0	25.8	67.6

Source: Young (1995)

DRIVERS FOR SUCCESS

► The success of the growth recipes depended on:

1. **SECTORS:** "mature" technologies, usable by human capital that is not of the highest quality and on sectors not exposed to competition from countries relying on low labor costs. steel, automotive, basic chemicals, consumer electronics.
2. **BUSINESS FORMS:** groups of family-controlled but managerially managed companies, often close to political power and able to seize the opportunities offered by international markets plus diversification
3. **DEVELOPMENTAL STATE:** subsidies (to stimulate competitiveness); tax incentives; investment on education; developmental banks

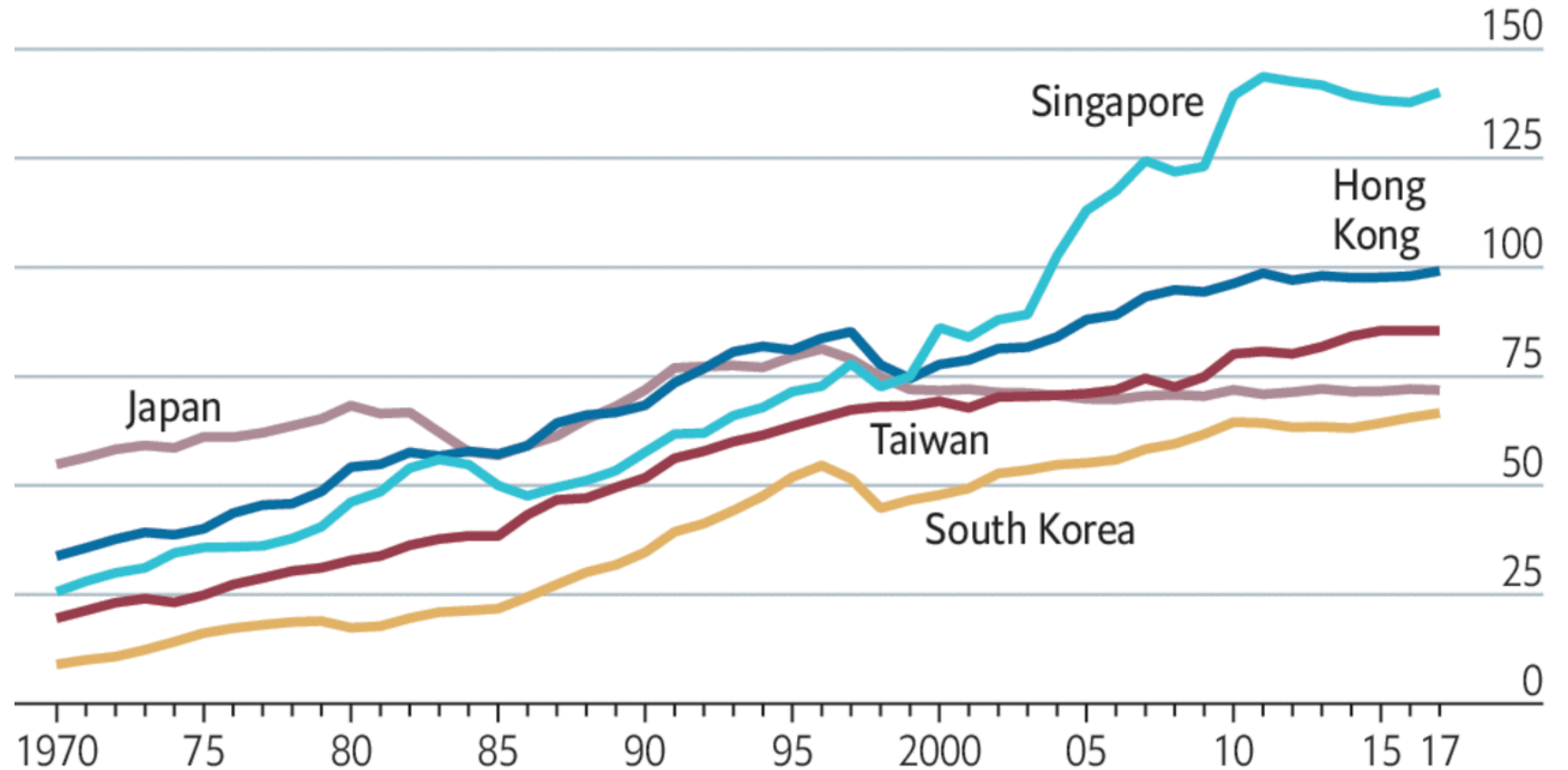
Overtaking Japan

GDP per person* as % of United States

For over 30 years (1960–1990), these four nations grew at an average of 7% to 10% per year.

Normal growth for a developed country is about 2-3%.

They grew 3x faster than the rest of the world!!!



Source: Penn World Table

The Economist

*At purchasing-power parity

Distribution of the World's GDP in 1970

The area of each bubble is proportional to the country's nominal gross domestic product as a share of the world total. Some countries (for which flags were not available) are not shown. Data: United Nations.



Distribution of the World's GDP in 1995

The area of each bubble is proportional to the country's nominal gross domestic product as a share of the world total. Some countries (for which flags were not available) are not shown. Data: United Nations.



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Distribution of the World's GDP in 2020

The area of each bubble is proportional to the country's nominal gross domestic product as a share of the world total. Some countries (for which flags were not available) are not shown. Data: United Nations.



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